🏛️ LAND LAWS

UNIT III — ACQUISITION, REHABILITATION & RESETTLEMENT

Osmania University | LLB (3-YDC) | 4th Semester | Paper IV

Comprehensive Exam Preparation Notes · Target: 75+ Marks

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📋 UNIT III — OVERVIEW & STUDY MAP

✅ What IS in this Unit (Scope)

- The Right to Fair Compensation and Transparency in Land Acquisition, Rehabilitation and Resettlement Act, 2013 (LARR Act 2013) — salient features
- Land Acquisition Procedure under LARR Act 2013: Preliminary Notification (S.11), SIA (S.4), Declaration (S.19)
- Social Impact Assessment (SIA) — process, purpose, Expert Group review
- Consent of landowners — 70% (PPP) and 80% (private companies) thresholds
- Compensation — market value, solatium, annuity; Award enquiry by Collector
- Dispute Resolution — Reference to Civil Court (S.64), Land Acquisition Rehabilitation and Resettlement Authority (LARRA)
- Rehabilitation and Resettlement (R&R) — entitlements under Second Schedule
- Old Land Acquisition Act 1894 (historical context — procedure comparison)

❌ What is NOT in this Unit

- Ceiling on land holdings — Unit IV
- Forest Rights Act 2006 — Unit IV
- Zamindari/Ryotwari systems — Unit II
- Assigned lands / Scheduled Areas / SALTR — Unit V
- Pattadar Pass Books / Dharani — Unit I

⭐ Predicted High-Probability Questions — 2026 Exam

- Part A: Right to Fair Compensation / Social Impact Assessment (appeared 2022)
- Part A: Rehabilitation (appeared 2020)
- Part B: Procedure for acquiring private land for public purpose — LARR 2013 (appeared 2025, 2021, 2020, 2019, 2018 — EVERY year)
- Part B: Consent of landowners as integral part of acquisition (appeared 2024)
- Part B: Preliminary Notification and Declaration under Land Acquisition (appeared 2018)
- Part C: Compensation enhancement challenge by landowner (appeared 2022)
- Part C: Defective Section 4 notification (appeared 2022)
- Part C: Government acquiring land for private factory/MNC — validity (appeared 2025)
- Part C: Government acquiring wet agricultural land for SEZ/Airport (appeared 2019, 2018)

🔢 Critical Numbers & Provisions — Unit III

- LARR Act 2013 — 'The Right to Fair Compensation and Transparency in Land Acquisition, Rehabilitation and Resettlement Act, 2013'
- Old Act: Land Acquisition Act, 1894 (repealed by LARR 2013, except where special laws apply)
- Section 2(1)(b) LARR — private company acquisition: 80% consent of affected families required
- Section 2(1)(c) LARR — PPP project: 70% consent required
- Section 4 LARR — Social Impact Assessment (SIA); old S.4 = Preliminary Notification
- Section 11 LARR — Preliminary Notification (replaces old S.4 notification)

- Section 19 LARR — Declaration (replaces old S.6 notification)
- Section 26 LARR — Market value determination (First Schedule)
- Section 30 LARR — Solatium = 100% of market value
- Section 64 LARR — Reference to Civil Court for compensation disputes
- 4x multiplier — rural land compensation up to 4 times market value
- 2x multiplier — urban land compensation 2 times market value
- S.24 LARR — Lapse provision: if possession not taken or compensation not paid in 5 years → acquisition lapses
- Urgency clause S.40 LARR (very restricted use — defence/natural calamity only)

📝 PART A — SHORT NOTES (6 Marks Each)

~200–250 words. Definition → Key Points → Example → Case → TIP.

A-1. Right to Fair Compensation (LARR Act 2013)

Exam Frequency: ⭐⭐⭐⭐⭐ (VERY HIGH)

DEFINITION

The Right to Fair Compensation under the LARR Act 2013 is the statutory entitlement of a person whose land is compulsorily acquired by the government to receive compensation that is fair, just, and transparent — comprising market value of land, assets attached, solatium, annuity, and full Rehabilitation & Resettlement benefits.

KEY POINTS

- Governed by Chapter V (Sections 26–46) of the LARR Act, 2013
- Market Value = highest of: (a) circle rate / collector's rate; (b) average sale price of similar land in last 3 years; (c) consented amount in case of private purchase
- Multiplier: Rural land — market value × up to 4 (depending on distance from urban area); Urban land — market value × 2 (solatium)
- Solatium = 100% of market value — added on top of market value as mandatory addition
- Annuity: Rs. 2,000 per month (inflation-indexed) to each affected family for 20 years
- Value of structures, trees, standing crops separately assessed and added
- Award = total of market value + solatium + annuity + value of assets + R&R entitlements
- Right to challenge compensation: reference to Civil Court under Section 64 LARR 2013
- Principle: compensation must be 'replacement cost' — not just book value

📌 **Example:** A farmer's 2-acre irrigated land (market value Rs 20 lakh/acre) is acquired. Compensation = Rs 40L market value × multiplier 4 = Rs 1.6 Cr + solatium 100% = Rs 1.6 Cr = Total Rs 3.2 Cr + annuity + R&R.

⚖ **Case:** Kolkata Municipal Corporation v. Bimal Kumar Shah (2019) SC — compensation must be determined at the time of taking possession, not at time of notification, if there is unreasonable delay. Indore Development Authority v. Manoharlal (2020) SC — five-judge bench clarified Section 24 lapse provisions.

💡 **TIP:** Fair Compensation = MV × Multiplier + Solatium (100%) + Annuity (20 yrs) + Assets + R&R. Remember: LARR pays MORE than old 1894 Act. Rural = up to 4x; Urban = 2x.

A-2. Social Impact Assessment (SIA)

Exam Frequency: ⭐⭐⭐⭐ (HIGH)

DEFINITION

Social Impact Assessment (SIA) is a mandatory study under Section 4 of the LARR Act 2013 that must be conducted before any land acquisition to assess the social costs and benefits of the proposed acquisition on affected communities, with particular attention to displaced families, livelihoods, and social infrastructure.

KEY POINTS

- Mandatory for ALL acquisitions under LARR 2013 (except urgency acquisitions under S.40)
- SIA must be conducted in consultation with Gram Sabha (for rural areas) or equivalent urban body
- SIA Report must assess: (a) nature of public purpose; (b) estimated affected families; (c) social cost-benefit analysis; (d) alternatives considered; (e) impact on scheduled tribe land/forest land
- SIA conducted within 6 months of preliminary notification
- Expert Group (independent) reviews SIA Report — determines if public purpose is genuine and benefits outweigh costs
- Expert Group report is advisory; government may override but must record reasons
- SIA Report is publicly displayed for objections (30 days)
- For urgency acquisitions (S.40) and acquisitions by government for own use — SIA may be waived
- SIA protects against: sham 'public purpose' acquisitions, disproportionate displacement of tribals/poor

📌 **Example:** Before acquiring 500 acres for a proposed IT corridor in Hyderabad, the Collector conducts SIA in consultation with Gram Sabhas of 3 affected villages, publishes the report, and sends it to the Expert Group for review.

⚖ **Case:** Devendra Kumar v. State of Uttarakhand (2013) — SIA requirement is not a mere formality; failure to conduct genuine SIA vitiates the acquisition. Narmada Bachao Andolan v. UOI (2000) — displacement of people must be accompanied by proper rehabilitation.

💡 **TIP:** SIA = Social Impact Assessment. 3 Cs: Consult Gram Sabha + Conduct study + Check Expert Group. SIA can be WAIVED only for urgency (defence/calamity) under S.40. For exam: always mention SIA as Step 1 of LARR procedure.

A-3. Rehabilitation and Resettlement (R&R)

Exam Frequency: ⭐⭐⭐⭐ (HIGH)

DEFINITION

Rehabilitation and Resettlement (R&R) under the LARR Act 2013 refers to the comprehensive package of benefits — beyond mere monetary compensation — provided to families displaced or adversely affected by land acquisition, ensuring they are not worse off after the acquisition.

KEY POINTS

- Governed by Chapter V and Second Schedule of LARR Act 2013
- R&R benefits include: (a) land for land (where possible); (b) house; (c) employment or one-time payment; (d) subsistence allowance; (e) transportation allowance; (f) resettlement allowance
- Affected families = families whose land/livelihood is impacted — includes landless agricultural labourers, sharecroppers, artisans dependent on acquired land
- Minimum R&R entitlements (Second Schedule): Rs 5 lakh one-time payment OR employment for one member of displaced family OR Rs 2,000/month annuity for 20 years
- R&R Plan must be prepared before final acquisition
- R&R Authority (LARRA) — statutory authority to enforce R&R entitlements; similar to civil court
- Infrastructure at resettlement site: within 1 km — school, post office, paved road, drinking water, drainage, community centre
- R&R is NOT optional — it is a statutory right and cannot be waived by the acquiring authority

📌 **Example:** When Polavaram dam acquired tribal land in AP/Telangana, R&R package included: land for land in plains, house plot, school, medical facilities at new resettlement colonies — implemented (imperfectly) under LARR principles.

⚖ **Case:** Narmada Bachao Andolan v. UOI (2000) SC — government must ensure proper R&R before displacement; mere monetary compensation is insufficient. People's Union for Democratic Rights v. UOI (1982) — displaced persons' right to livelihood is part of Right to Life (Art 21).

💡 **TIP:** R&R = 5 Hs: House + hectare (land for land) + Help (subsistence allowance) + hiring (employment) + 'hood (community infrastructure). R&R applies to ALL affected families — not just landowners!

A-4. Doctrine of Lapse (Section 24, LARR Act 2013)

Exam Frequency: ⭐⭐⭐⭐ (HIGH)

DEFINITION

The Doctrine of Lapse in land acquisition law refers to the legal principle under Section 24 of the LARR Act 2013 that an acquisition proceeding under the old Land Acquisition Act 1894 shall lapse (become void) if: (a) an award has not been made within 5 years of the Section 4 notification; OR (b) compensation has not been paid/deposited despite award being made.

KEY POINTS

- Section 24(1) LARR 2013: Where award is NOT made under LA Act 1894 — such proceedings deemed to have lapsed after 5 years from S.4 notification date
- Section 24(2) LARR 2013: Where award IS made but compensation not paid/tendered AND possession not taken — proceedings deemed to have lapsed
- Upon lapse — land reverts to original owner; fresh acquisition under LARR 2013 is required
- Purpose: prevent government from keeping land acquisition proceedings pending indefinitely ('sleeping notices')
- S.24 also applies to pending proceedings under old 1894 Act as on date of LARR 2013 commencement (1 Jan 2014)
- Key controversy: Does deposit of compensation in court amount to 'payment'? SC in Indore Development Authority v. Manoharlal (2020) — YES, deposit in court = payment for S.24(2) purposes; lapse cannot be claimed merely because owner refused to accept
- Under OLD 1894 Act — there was NO such lapse provision; government could sit on acquisition indefinitely

📌 **Example:** Government issued S.4 notification in 2010 for acquiring land. By 2015, no award was made. Under S.24(1) LARR 2013 (read with its 5-year rule), the proceedings lapse and the landowner can reclaim the land.

⚖️ **Case:** Indore Development Authority v. Manoharlal (2020) SC (5-judge bench) — comprehensive ruling on S.24 lapse: deposit in court = payment; S.24(2) lapse requires BOTH non-payment AND non-possession; overruled earlier conflicting decisions.

💡 **TIP:** LAPSE = 5-year rule. No Award in 5 years = S.24(1) lapse. Award but no payment AND no possession = S.24(2) lapse. BUT deposit in court = payment (Indore Dev Authority 2020). Remember: Lapse returns land to OWNER.

A-5. Revenue Courts

Exam Frequency: ⭐⭐⭐ (MEDIUM)

DEFINITION

Revenue Courts are specialised quasi-judicial bodies established under the land revenue laws of each State to adjudicate disputes relating to land revenue, tenancy rights, land records, mutation, and related matters, providing a faster and cheaper forum than regular civil courts for agrarian disputes.

KEY POINTS

- Hierarchy in Telangana: Village Revenue Officer (VRO) → Mandal Revenue Officer (MRO) → Revenue Divisional Officer (RDO) → District Collector → Board of Revenue → High Court
- Jurisdiction: disputes over land records, mutation of title, tenancy rights, boundaries, partition of holdings, revenue assessment
- NOT civil courts — operate under Revenue Acts (Telangana Land Revenue Act, AP Revenue Act)
- Board of Revenue: highest revenue court in the State; hears second appeals from Collector; can make references to High Court
- Revenue courts do NOT have jurisdiction over: title disputes (civil court jurisdiction), criminal matters, constitutional questions
- Right to refer: in certain cases, a party can seek reference from Revenue Court to Civil Court (e.g., for title determination)
- Revenue Court orders are enforceable like civil decrees — but limited to revenue matters
- Dharani portal in Telangana has partially shifted mutation and record-update functions to administrative channels

📌 **Example:** A disputes B's mutation of a 5-acre land in the village Pahani. A files an appeal before the MRO, then RDO, and ultimately before the Board of Revenue — all within the Revenue Court hierarchy.

⚖ **Case:** State of UP v. Ram Chandra (1972) SC — Revenue Courts have jurisdiction over revenue/tenancy matters but not over title; title disputes must go to civil court. Ganga Prasad v. State of Bihar (1966) — Board of Revenue's orders on revenue matters have finality within revenue hierarchy.

💡 **TIP:** Revenue Court hierarchy: VRO → MRO → RDO → Collector → Board of Revenue → HC. Revenue Courts for RECORDS/TENANCY. Civil Courts for TITLE/OWNERSHIP. Never confuse the two!

A-6. Consent of Landowners in Land Acquisition

Exam Frequency: ⭐⭐⭐⭐ (HIGH)

DEFINITION

Consent of landowners refers to the mandatory requirement under the LARR Act 2013 that for acquisition of land by the government for private companies or PPP projects, a minimum percentage of affected landowners (70–80%) must give their written consent before the government can proceed with acquisition.

KEY POINTS

- Consent requirement is a landmark innovation of LARR Act 2013 — absent in old LA Act 1894
- Section 2(1)(b): For acquisition for private companies — minimum 80% consent of 'affected families' required
- Section 2(1)(c): For PPP (Public Private Partnership) projects — minimum 70% consent required
- No consent needed for: government's own use, government companies, defence, railways, national security
- Consent must be 'free and informed' — no coercion, duress, or fraud
- Gram Sabha consent: in Scheduled Areas, Gram Sabha consent is also required (PESA 1996)
- Consent is obtained after SIA — families are informed of the project and its impacts
- If consent threshold is not met, the government CANNOT proceed with acquisition for that purpose
- Consent has made acquisition more transparent and reduced conflicts — but slowed some infrastructure projects

📌 **Example:** An MNC wants to set up a factory requiring 200 acres in a rural area of Telangana. Before the government can acquire this land, it must obtain written consent of 80% of affected families (approx. 160 out of 200 families) in that area.

⚖ **Case:** Kedar Nath Yadav v. State of WB (2011) SC — acquisition for private company without following proper consent-like safeguards held invalid; LARR 2013 codified this principle. Tata Motors Singur case — public outrage over non-consensual acquisition drove LARR 2013 consent reforms.

💡 **TIP:** Consent Numbers: 80% for private company, 70% for PPP. Zero % consent needed for government's own use. Remember: Singur (Tata Nano) and Nandigram drove consent requirement into LARR 2013.

A-7. Resolution of Land Disputes (LARRA & Civil Courts)

Exam Frequency: ⭐⭐⭐ (MEDIUM)

DEFINITION

Land acquisition disputes are resolved through a multi-tier mechanism under LARR Act 2013 — starting with the Collector's Award, followed by reference to the Land Acquisition, Rehabilitation and Resettlement Authority (LARRA), and ultimate appeal to the High Court.

KEY POINTS

- Tier 1 — Collector's Award: After hearing objections, Collector determines compensation and makes Award (Section 23 LARR 2013)
- Tier 2 — Reference to LARRA (S.64): If person aggrieved by compensation amount can demand reference to LARRA (replaces reference to Civil Court under S.18 old Act)
- LARRA = Land Acquisition, Rehabilitation and Resettlement Authority — statutory body, equivalent to civil court in jurisdiction
- LARRA has jurisdiction: compensation disputes, R&R disputes, other acquisition-related disputes
- Tier 3 — High Court: Appeals from LARRA lie to High Court
- Supreme Court: Final constitutional/legal questions
- Time limits: Person must apply for reference within 6 weeks of award or 6 weeks of possession (whichever later)
- LARRA can enhance compensation — but cannot reduce below Collector's Award
- Alternative — challenge acquisition itself (not just compensation): Writ Petition to High Court under Art 226

📌 **Example:** The Collector awards Rs 20 lakh for X's land. X believes market value is Rs 50 lakh. X files reference to LARRA under S.64 within 6 weeks. LARRA hears the case, reviews market evidence, and awards Rs 45 lakh. Government appeals to HC.

⚖️ **Case:** Srinivasa Co-op Housing Society v. Madam Gurumurthy (1987) SC — person has right to full compensation and court must determine market value on evidence. Kolkata Municipal Corp v. Bimal Kumar Shah (2019) — delay in acquisition cannot defeat right to fair compensation.

💡 **TIP:** Dispute ladder: Collector Award → LARRA (S.64 reference) → HC → SC. For acquisition validity (not just compensation): Writ to HC under Art 226. Limitation: 6 weeks from award for S.64 reference.

📖 PART B — LONG ESSAYS (15 Marks Each)

600–800 words per essay. Introduction → Headings → Conclusion.

B-1. Procedure for Acquiring Private Land for Public Purpose (LARR Act 2013)

Exam Frequency: ⭐⭐⭐⭐⭐ (VERY HIGH)

(Appeared in 2025, 2021, 2020, 2019, 2018 — THE most repeated Part B in this paper)

I. Introduction

The Right to Fair Compensation and Transparency in Land Acquisition, Rehabilitation and Resettlement Act, 2013 (LARR Act 2013) is India's landmark legislation replacing the colonial Land Acquisition Act of 1894. It establishes a detailed, rights-based procedure for compulsory acquisition of private land that prioritises transparency, consent, social impact assessment, and fair compensation. The Act came into force on 1 January 2014.

II. Step-by-Step Procedure under LARR Act 2013

Step	Action / Section	Key Details
1	Preliminary Survey (S.4 & S.10)	Notification in Official Gazette. Entry into land for survey, demarcation, soil testing. No acquisition at this stage — only survey.
2	Social Impact Assessment — SIA (S.4)	Mandatory SIA in consultation with Gram Sabha. Expert Group reviews SIA Report within 2 months. Public display of SIA Report for 30 days for objections.
3	Consent (S.2(1)(b)/(c))	For private companies: 80% consent of affected families. For PPP: 70% consent. Not required for government's own use.
4	Preliminary Notification (S.11)	Published in Official Gazette + two newspapers. Identifies land to be acquired, area, purpose. Once published — no transfer/encumbrance on notified land (S.11(9)).
5	Hearing of Objections (S.15)	Any person with interest in land can file objections within 60 days. Collector must hear all objections personally.
6	Declaration (S.19)	Government publishes Declaration stating land is needed for public purpose. Must be within 12 months of S.11 notification. If not published in 12 months → S.11 notification lapses.
7	Market Value & Compensation (S.26-30)	Collector determines market value. Compensation = Market Value × Multiplier (up to 4x rural) + Solatium (100% of MV) + Assets + Annuity.
8	Award by Collector (S.23-25)	Collector makes Award after individual hearing of each affected person. Award = total compensation for each plot. Must be made within 12 months of S.19 Declaration.
9	Payment & Taking Possession (S.37-38)	Compensation must be tendered before taking possession. If refused — deposited in court. Possession after payment/deposit.
10	R&R Plan (S.16-17)	R&R Plan prepared and approved. Benefits from Second Schedule provided to all affected families (not just landowners).
11	LARRA Reference (S.64)	If aggrieved by compensation — reference to LARRA within 6 weeks. HC appeal from LARRA order.

III. Key Innovations of LARR 2013 Over Old LA Act 1894

Feature	LARR Act 2013 (New)
SIA	Mandatory — genuine public purpose scrutiny

Consent	80%/70% for private/PPP projects
Compensation	Market value × multiplier (up to 4x) + 100% solatium
R&R	Comprehensive statutory entitlement
Urgency	Very restricted — only defence/calamity
Dispute forum	LARRA (specialised authority)
Lapse	5-year rule under S.24

🟨**Key Rule — Public Purpose:** Section 2(1) LARR 2013 defines 'public purpose' to include: strategic purposes, infrastructure (roads, railways, ports), government projects, projects for affected families, housing for poor, planned development, and projects by private entities with 70–80% consent. PURELY private commercial benefit WITHOUT consent does NOT qualify.

IV. Special Protections for Scheduled Areas / Tribal Land

- Gram Sabha consent mandatory for acquisition in Scheduled Areas (PESA 1996)
- Special provisions for tribals in SIA and R&R
- Tribal land acquired only as 'last resort' — alternatives must be explored
- If tribal land acquired, equivalent land must be provided to tribal community

V. Urgency Provisions (Section 40)

Under Section 40, the government may invoke urgency and bypass SIA/consent requirements only for: (a) national defence; (b) national security; (c) natural calamity / disasters. General 'public interest' is NOT sufficient for urgency. Courts have strictly restricted the scope of Section 40.

⚖ **Case:** Pune Municipal Corporation v. Harakchand (2014) SC — LARR 2013 is prospective; old acquisitions under 1894 Act continue unless S.24 lapse applies. Indore Development Authority v. Manoharlal (2020) — S.24 lapse rules comprehensively clarified. Kedar Nath Yadav v. State of WB (2011) — acquisition for private factory without consent-type safeguards invalid.

💡 **TIP:** Procedure Mnemonic: S-S-C-P-O-D-M-A-P-R-L = Survey → SIA → Consent → Preliminary Notification → Objections → Declaration → Market value → Award → Possession → R&R → LARRA. Remember: SIA first, Consent before notification, Award within 12 months of Declaration.

VI. Conclusion

The LARR Act 2013 represents a fundamental shift from the colonial-era Land Acquisition Act 1894 — from a system that treated affected persons as objects of acquisition to one that treats them as rights-bearing subjects. The mandatory SIA, consent requirements, enhanced compensation, and comprehensive R&R obligations ensure that the exercise of Eminent Domain is tempered by procedural fairness and substantive justice. The constitutional underpinning — Article 300-A, Article 21 (right to livelihood), and DPSP Articles 38-39 — provides the normative foundation for this rights-based approach to land acquisition.

B-2. Consent of Landowners as Integral Part of Acquisition Process

Exam Frequency: ⭐⭐⭐⭐⭐ (VERY HIGH)

(Directly asked in August/September 2024)

I. Introduction

The requirement of consent of landowners before compulsory acquisition for private and PPP projects is the most transformative innovation of the LARR Act 2013. It marks a decisive departure from the colonial-era Land Acquisition Act 1894, where the government could acquire any land for any 'public purpose' without consulting the affected landowners. The consent requirement reflects the constitutional values of dignity, participation, and social justice.

II. Historical Background — Why Consent Became Necessary

- Under the old LA Act 1894: government could acquire land for 'public purpose' or for a 'company' — no consent required from landowners
- Widespread abuse — land acquired ostensibly for 'public purpose' actually handed to private corporations
- Major controversies: Singur (Tata Nano plant, West Bengal), Nandigram (chemical SEZ), Lavasa (hill city, Maharashtra)
- Supreme Court in Kedar Nath Yadav (2011) and other cases signalled need for consent safeguards
- 2013 — Parliament enacted LARR Act 2013 — consent became statutory requirement

III. The Consent Provisions — LARR Act 2013

A. Section 2(1)(b) — Private Companies

For acquisition of land for use by a private company, the prior consent of at least 80% of the affected families (not just landowners — but all families whose livelihood is impacted) must be obtained before the government proceeds with acquisition.

🟨**Rule:** 80% consent of affected families required for private company projects

B. Section 2(1)(c) — PPP Projects

For acquisition for Public Private Partnership (PPP) projects — where government and private entity jointly implement — 70% consent of affected families is sufficient.

🟨**Rule:** 70% consent of affected families required for PPP projects

C. When Consent is NOT Required

- Government acquiring land for its own use (government companies, PSUs, defence, railways)
- Linear projects (roads, highways, railways, canals) — though SIA still required
- Urgency acquisitions under Section 40 (defence/calamity)
- Projects listed in government notifications as exempt

IV. Procedure for Obtaining Consent

- Consent obtained AFTER SIA — affected families informed of project, its social costs and benefits
- Consent must be FREE — no coercion, inducement, fraud
- INFORMED consent — families must understand what they are consenting to
- Written consent — documented in prescribed form
- In Scheduled Areas — Gram Sabha resolution required additionally (PESA 1996)
- Consent of 80%/70% is a jurisdictional requirement — without it, acquisition cannot proceed at all

V. Significance and Challenges

Significance

- Recognises landowners as stakeholders in development, not mere obstacles
- Reduces involuntary displacement — promotes negotiated settlements
- Constitutionally aligned with Article 21 (right to livelihood, dignity)
- Gram Sabha consent in Scheduled Areas aligns with Fifth Schedule autonomy

Challenges in Practice

- Who counts as 'affected family'? Broad definition can include large numbers — threshold harder to meet
- Consent can be retracted — legal uncertainty
- Intermediaries manipulate consent process
- Infrastructure projects delayed or abandoned due to consent deadlock
- Governments have proposed amendments to dilute consent requirement — ongoing controversy

⚖ **Case:** Kedar Nath Yadav v. State of WB (2011) — pre-LARR case signalling that acquisition for private benefit without safeguards is unconstitutional. Chameli Singh v. State of UP (1996) — right to shelter/land is part of Art 21 right to life. Nandini Sundar v. State of CG (2011) — State must ensure genuine consent, not manufactured consent.

VI. Conclusion

The consent requirement in LARR Act 2013 represents the constitutionalisation of participatory democracy in the land acquisition process. It transforms acquisition from a unilateral sovereign act to a negotiated process in which affected communities have a meaningful voice. While implementation challenges remain, the principle is sound — no development is sustainable if it is built on the involuntary displacement of communities without their genuine consent. The consent requirement, read with the SIA and R&R obligations, forms a rights-protective triad that distinguishes LARR 2013 fundamentally from its colonial predecessor.

B-3. Award Enquiry, Payment of Compensation, and Reference to Civil Court

Exam Frequency: ⭐⭐⭐⭐ (HIGH)

(Compensation-related problems appear every year in Part C — understand the theory for Part B as well)

I. Introduction

The determination of fair compensation is at the heart of the land acquisition process. The LARR Act 2013 establishes a detailed mechanism for: (a) determination of market value by the Collector; (b) making of the Award; (c) payment of compensation; and (d) resolution of disputes through the LARRA mechanism. This ensures that affected persons receive not just monetary value but also a comprehensive welfare package.

II. Determination of Market Value (Section 26)

The Collector must determine market value of acquired land as the HIGHEST of:

- The minimum land value specified in the Indian Stamp Act, 1899 for the area (circle rate/collector rate)
- The average sale price for similar type of land, in the nearest areas for last 3 years (taking 50th percentile of sale deeds)
- The consented amount in cases where land is purchased directly from willing parties

🟨**Market Value Formula:** MV = Highest of: Circle Rate OR Average of last 3 years' 50th percentile sale prices OR consented price

III. Computation of Compensation (Sections 27-30)

- Total Compensation = Market Value × Multiplier + Solatium + Value of assets + Annuity
- Multiplier (First Schedule): rural land — maximum 4x market value (higher multiple for areas farther from urban agglomeration); urban land — 2x market value
- Solatium (S.30): Mandatory addition of 100% of market value as solatium — recognises the involuntary nature of acquisition
- Annuity (S.30A): Rs. 2,000/month per affected family for 20 years (indexed to inflation)
- Assets: structures, trees, crops on land — separately valued and compensated

🟨**Example Calculation:** Land MV = Rs 10 lakh/acre. Rural area (3x multiplier). Compensation = 10L × 3 = Rs 30L + Solatium 100% of MV = Rs 10L = Total Rs 40L per acre + annuity + assets + R&R.

IV. Award Enquiry and Award (Sections 23-25)

- Collector gives individual notice to all persons interested in land
- Personal hearing — each interested person can present their case
- After enquiry, Collector makes the Award — specifying: (a) true area of acquired land; (b) compensation for each person; (c) apportionment among co-owners, tenants
- Award must be made within 12 months of Section 19 Declaration — otherwise acquisition lapses
- Award is conclusive as to area and compensation — but compensation can be enhanced by LARRA

V. Payment of Compensation (Section 37-38)

- Compensation MUST be tendered (offered) to each person BEFORE taking possession
- If person refuses to accept — Collector deposits in LARRA (court)
- Deposit in LARRA = valid payment — ownership passes to government on deposit
- Possession can be taken after payment/deposit
- If compensation not paid AND possession not taken in 5 years — acquisition lapses (S.24)

VI. Reference to LARRA (Section 64)

- Any person aggrieved by compensation can demand reference to LARRA
- Application to LARRA must be made within: 6 weeks of Collector's award (if in India) or 6 months (if outside India)
- LARRA functions as civil court — has power to enhance compensation based on evidence
- LARRA cannot REDUCE compensation below Collector's Award
- Appeals from LARRA: High Court → Supreme Court
- LARRA may also award interest on delayed payment: 9% p.a. for first year of delay; 15% p.a. thereafter

⚖ **Case:** Srinivasa Co-op Housing Society v. Madam Gurumurthy (1987) SC — compensation must be adequate market value; court must assess on evidence. Kolkata Municipal Corp v. Bimal Kumar Shah (2019) — market value must be assessed at time closest to actual taking of possession if there is delay. Indore Development Authority v. Manoharlal (2020) SC — deposit in court = valid payment; lapse requires both non-payment AND non-possession.

VII. Conclusion

The compensation mechanism under LARR Act 2013 is designed to ensure that land acquisition does not impoverish the affected persons. The combination of market value (with multiplier), solatium, annuity, and R&R benefits is intended to enable displaced families to rebuild their lives at a comparable or better standard. The LARRA mechanism ensures an independent judicial forum for challenging inadequate compensation — fulfilling the constitutional promise of Article 300-A that property shall not be taken without the authority of a fair and just law.

⚖️ PART C — PROBLEM QUESTIONS / IRAC (10 Marks Each)

Strictly use IRAC: Issue → Rule → Application → Conclusion.

C-1. Landowner Seeks Enhanced Compensation — Can He Succeed?

Exam Frequency: ⭐⭐⭐⭐⭐ (VERY HIGH)

(November/December 2022 exam — direct problem)

PROBLEM: The government acquired X's land for a public purpose. Before the court, X claimed the value of the property has increased a lot since the notification. Will X be able to get an enhanced amount of compensation?

I — ISSUE

The legal issue is: Whether a landowner whose land has been acquired is entitled to receive compensation based on the enhanced market value of the land at the time of actual taking of possession, rather than the market value at the time of the Section 11 Preliminary Notification?

R — RULE

- Section 26 LARR Act 2013: Market value is determined as on the date of the Preliminary Notification (Section 11)
- General rule: Compensation is calculated at the market value as on the date of Section 11 notification — NOT on a later date
- However: if there is inordinate, unjustifiable delay by the government in taking possession — SC has held that the market value at the time of actual possession should be considered (Kolkata Municipal Corp case)
- Solatium (100% of MV) + Multiplier (up to 4x): these add significantly to the base market value
- Section 64: X can demand reference to LARRA challenging the Collector's assessed market value
- Section 24(1): If award not made within 5 years — acquisition lapses and X gets his land back

🟨 **KEY RULE:** Market value = as on date of S.11 notification. BUT courts can use later date if government's delay caused the owner to be deprived of increased value. X can challenge compensation via LARRA reference (S.64).

A — APPLICATION

X's land was acquired for public purpose. X claims the value has increased since acquisition.

Step 1: Under normal rules, compensation is assessed as on the date of Section 11 Preliminary Notification — X cannot simply claim the increased value at a later date as a matter of right.

Step 2: However, X CAN challenge the Collector's market value assessment by filing a reference to LARRA under Section 64, arguing that the Collector's determination of market value was incorrect — i.e., that even at the time of notification, the market value was higher than assessed. X can produce sale deeds of comparable properties to prove higher market value.

Step 3: If the government caused unreasonable delay between notification and possession, X can argue that the market value at the time of possession should be used (Kolkata Municipal Corp principle).

Step 4: In any case, X is entitled to: (a) the solatium of 100% on the market value; (b) the multiplier (up to 4x for rural land); (c) annuity; (d) interest at 9%/15% on delayed payment. These substantially increase the final amount above raw market value.

⚖ **Case:** Kolkata Municipal Corporation v. Bimal Kumar Shah (2019) SC — where there is inordinate delay in acquisition, compensation should reflect value at time closest to possession. Srinivasa Co-op Housing Society v. Madam Gurumurthy (1987) SC — court must determine compensation on actual market evidence, not a nominal figure. R.L. Jain v. DDA (2004) SC — enhanced compensation awarded when delay was attributable to the State.

C — CONCLUSION

DECISION: X CAN seek enhanced compensation through the LARRA reference mechanism (Section 64 LARR 2013). Normally, market value is assessed as on the date of Preliminary Notification (Section 11). However, X may succeed in enhancement if: (a) the Collector's market value assessment was lower than actual market value on the notification date (provable by comparable sale deeds); OR (b) the government caused inordinate delay between notification and possession (Kolkata Municipal Corp principle). Additionally, X is entitled to the solatium (100%), multiplier (up to 4x), and interest on delayed payment — which significantly enhance the total compensation regardless of the base market value argument.

C-2. Defective Notification — Name of Co-operative Society Not Stated

Exam Frequency: ⭐⭐⭐⭐ (HIGH)

(November/December 2022 exam)

PROBLEM: Section 4(1) notification under the Land Acquisition Act was issued stating land was acquired for a housing co-operative society, but the name of the society was not stated in the notification. Petitioner challenges the validity of the notification. Decide.

I — ISSUE

The legal issue is: Whether a Section 4(1) notification under the Land Acquisition Act (or S.11 under LARR 2013) is invalid or void if it fails to mention the name of the beneficiary co-operative society for whose benefit the land is to be acquired?

R — RULE

- Section 4(1) LA Act 1894 (/ S.11 LARR 2013): The Preliminary Notification must state: the land to be acquired, locality, the purpose for which it is needed
- Purpose of notification: to give notice to all interested persons so they can file objections under Section 5-A (/ S.15 LARR 2013)
- Essential elements of a valid notification: (a) description of land; (b) public purpose for which needed; (c) the authority/entity requiring the land (if not government)
- Omission of the name of the society: whether this is a 'mere irregularity' curable under Section 99 LA Act (now S.105 LARR), or a 'substantial defect' vitiating the notification
- General rule: Technical defects that do not cause prejudice = irregularity, not nullity. Defects that deprive owner of opportunity to challenge = substantial defect = void.

🟨**KEY RULE:** Omission of co-operative society's name may be: (a) curable irregularity if it does not affect the owner's right to challenge the public purpose; OR (b) substantial defect if the omission makes it impossible to assess whether acquisition is genuine public purpose or a private arrangement.

A — APPLICATION

The notification states the purpose (housing co-operative society) but not the society's name.

Argument FOR validity: The purpose (housing for co-operative society) is stated. The omission of the specific society's name is a technical irregularity that did not prevent the petitioner from understanding the nature of the acquisition or filing objections. Under Section 99 LA Act / Section 105 LARR — no proceedings under the Act are invalid merely by reason of any error or irregularity, unless it causes substantial prejudice.

Argument AGAINST validity: The name of the co-operative society is essential because: (a) it determines whether the acquisition is for a genuine public purpose or a private arrangement; (b) the petitioner cannot verify whether the society exists, is duly registered, and is eligible for government-assisted acquisition; (c) the omission prevents meaningful challenge under Section 5-A. In cases of company acquisition — the 'company' must be precisely identified.

Judicial trend: Courts have generally held that omission of the company/society name in a notification where acquisition is for a private body is a SUBSTANTIAL DEFECT — since the legality of the acquisition depends on who the beneficiary is.

⚖ **Case:** Radhy Shyam v. State of UP (1977) SC — notification under S.4 LA Act must specify the company/body for whose benefit land is acquired; omission renders it defective. Gurdial Singh v. State of Punjab (1980) SC — procedural defects that cause prejudice to owner invalidate the notification. Lachhman Das v. State of Punjab (1963) SC — notification must contain all material particulars; omission of purpose renders it void.

C — CONCLUSION

DECISION: The petitioner's challenge is LIKELY TO SUCCEED. The omission of the name of the co-operative society from the Section 4(1) notification is a substantial defect — not a mere technical irregularity. The name of the beneficiary society is a material particular because: (a) it determines the legality of the acquisition (company acquisitions require compliance with Part VII of LA Act 1894); (b) it enables the landowner to meaningfully challenge the 'public purpose' claim; (c) without the name, the petitioner cannot verify whether the society is a genuine public institution or a private arrangement. Therefore, the notification is invalid and the acquisition based on it should be quashed. The government may issue a fresh, proper notification if the purpose is genuine.

C-3. Private Land Acquired for Factory of Multinational Corporation — Valid?

Exam Frequency: ⭐⭐⭐⭐⭐ (VERY HIGH)

(July/August 2025 exam)

PROBLEM: A private land was acquired by the government for establishment of a factory by a multinational corporation. Is such acquisition valid?

I — ISSUE

The legal issue is: Whether the compulsory acquisition of private land by the government for the establishment of a factory by a multinational corporation (MNC) — a private foreign entity — constitutes a valid 'public purpose' under the LARR Act 2013, and if so, what procedural conditions must be satisfied?

R — RULE

- Section 2(1) LARR Act 2013: Defines 'public purpose' — includes projects for private entities PROVIDED 80% consent of affected families is obtained (S.2(1)(b))
- Section 2(1)(b): Acquisition for a 'private company' requires 80% consent of affected families
- A multinational corporation = private company for the purposes of LARR 2013
- SIA mandatory under Section 4 — genuine social cost-benefit analysis required
- Doctrine of Eminent Domain: Cannot be used purely for private commercial benefit without public purpose element + consent requirements
- Article 300-A: Property cannot be taken except by authority of law — the law (LARR 2013) requires compliance with consent provisions

🟨 **KEY RULE:** Acquisition for a private MNC = valid ONLY IF: (1) 80% consent of affected families obtained; (2) SIA conducted; (3) fair compensation as per LARR 2013 paid; (4) R&R provided. WITHOUT 80% consent → acquisition is INVALID.

A — APPLICATION

The government has acquired private land for an MNC's factory. Applying the law:

IF the government followed LARR 2013 procedure — conducted SIA, obtained 80% consent of affected families, paid market value × multiplier + solatium + R&R benefits — the acquisition is VALID. Even though the primary beneficiary is a private MNC, LARR 2013 permits this with 80% consent.

IF the government bypassed the consent requirement — acquired land under a dubious 'public purpose' tag (e.g., 'industrial development') without actually obtaining 80% consent of affected families — the acquisition is INVALID. This would be colourable exercise of Eminent Domain — using a public law power for private commercial benefit.

Additional considerations: (a) If land is in a Scheduled Area, Gram Sabha consent is also required (PESA 1996); (b) If tribal land, Samatha principles apply — extra protections; (c) If the factory is merely giving employment and generating tax revenue — courts have been split on whether this is 'public purpose'.

Kedar Nath Yadav v. State of WB (2011): SC held that acquisition for a private car factory (Tata Nano at Singur) without proper consent-type safeguards was unconstitutional — a direct precedent for MNC factory acquisitions.

⚖ **Case:** Kedar Nath Yadav v. State of WB (2011) SC — factory for private company without consent invalid. Nandini Sundar v. State of CG (2011) — State cannot use acquisition powers for private enrichment. Samatha v. State of AP (1997) — MNC/company cannot get tribal land in Scheduled Areas even through government. State of UP v. Manohar (2005) — public purpose must be genuinely public, not a ruse.

C — CONCLUSION

DECISION: The acquisition is VALID only if the government complied with Section 2(1)(b) of LARR Act 2013 — i.e., obtained 80% consent of affected families, conducted SIA, and provided full compensation and R&R as per the Act. WITHOUT 80% consent, such acquisition is INVALID as it would be a colourable exercise of Eminent Domain for purely private commercial benefit. The affected landowners can challenge the acquisition by writ petition to the High Court under Article 226, and seek quashing of the acquisition notification on the ground of non-compliance with consent requirements.

🚀 QUICK REVISION SHEET — UNIT III

LARR 2013 — Full Procedure at a Glance

S.4 + SIA	Social Impact Assessment — mandatory first step
S.2(1)(b)/(c)	Consent: 80% private company, 70% PPP
S.11 Preliminary Notification	Gazette + 2 newspapers; freezes land transactions
S.15	Hearing objections within 60 days
S.19 Declaration	Must be within 12 months of S.11 or acquisition lapses
S.23 Award	Must be within 12 months of S.19 Declaration
S.26	Market value = highest of circle rate / 3-year avg / consented price
S.30	Solatium = 100% of market value (mandatory)
First Schedule Multiplier	Rural: up to 4x. Urban: 2x
S.37-38	Possession only after payment/deposit of compensation
S.24(1)	5-year lapse — no award within 5 yrs of S.4 notification
S.24(2)	Lapse — award made but no payment AND no possession
S.40	Urgency — only defence/calamity; SIA/consent bypassed
S.64	Reference to LARRA for compensation disputes (6-week limit)
S.30A Annuity	Rs 2,000/month per affected family for 20 years

Key Cases — One Liner

Indore Development Authority v. Manoharlal (2020)	S.24 lapse: deposit in court = payment; lapse = non-payment AND non-possession BOTH needed
Kolkata Municipal Corp v. Bimal Kumar Shah (2019)	Inordinate delay → use market value at time of possession
Kedar Nath Yadav v. State of WB (2011)	Acquisition for private factory without consent safeguards — invalid
Narmada Bachao Andolan v. UOI (2000)	R&R must precede displacement; monetary compensation alone insufficient
Samatha v. State of AP (1997)	MNC/govt cannot acquire tribal land in Scheduled Areas without safeguards
Radhy Shyam v. State of UP (1977)	S.4 notification must name the company; omission = defect
Srinivasa Co-op v. Madam Gurumurthy (1987)	Compensation must reflect actual market value
Pune Municipal Corp v. Harakchand (2014)	LARR 2013 prospective; pending 1894 Act acquisitions continue unless S.24 lapse applies

Memory Mnemonics

- Procedure: S-S-C-P-O-D-M-A-P-R-L → Survey, SIA, Consent, Preliminary notification, Objections, Declaration, Market value, Award, Possession, R&R, LARRA
- Consent numbers: 80-70 rule → 80% for private company, 70% for PPP. ZERO for government own use.
- Compensation = MV × M + S + A + Assets → Market Value × Multiplier + Solatium(100%) + Annuity(20yr) + Assets
- Multiplier: Rural=4x MAX, Urban=2x. Rural lands get MORE because of lower circle rates.
- Lapse clock: 5 years from S.4/SIA for no-award lapse (S.24(1)); plus possession+payment for S.24(2).
- LARRA Reference: 6 weeks from award. LARRA can ENHANCE but NOT reduce below Collector's figure.
- Urgency S.40 = only 2 things: Defence OR Natural Calamity. NOT general public interest.

⚠ Trap Questions — Watch Out!

- TRAP: 'LARR 2013 replaced all land acquisition laws' — FALSE. Special laws (NH Act 1956, Coal Bearing Areas Act, etc.) still operate; LARR is the general law.
- TRAP: 'Compensation under LARR = just market value' — FALSE. Compensation = MV × multiplier (up to 4x) + 100% solatium + annuity + assets + R&R. Much more than market value.
- TRAP: 'SIA can be skipped for urgent public works' — FALSE. Urgency exemption (S.40) is ONLY for defence/calamity. General urgency or convenience does not exempt SIA.
- TRAP: 'Deposit of compensation in court means owner is not paid — acquisition lapses' — FALSE. Indore Development Authority (2020) SC held deposit in court = valid payment for S.24(2).
- TRAP: 'Government can acquire for MNC/private company if it is for employment/economic development' — CONDITIONAL. Only valid WITH 80% consent + SIA + R&R under S.2(1)(b) LARR 2013.
- TRAP: 'Old Land Acquisition Act 1894 is fully dead' — FALSE. Some pending acquisitions continue; special laws invoking it still operate (NH Act 1956 replaced by NHIDCL Act but similar structure).